MEMO

To: Arjun Mehta, Finance Controller **Re:** Vireo refunds: what the number really is, and where the money leaks

The short answer

- **Your crore and the helpdesk's Rs 11 lakh are both off, for a fixable reason.** The old Freshdesk rows store money in paise, and 638 tickets were loaded twice. Summed as exported, refunds come to Rs 19.4 crore. Cleaned, Vireo refunds about Rs 12.7 lakh a quarter now (peak Rs 16.3 lakh in Q4 2025). The helpdesk figure is close but Rs 1.5 to 2 lakh a quarter lower; I cannot tell why from the files.
- **Refunds rose mainly because of one product, then a policy change.** The Pulse 2 earbuds (launched 15 July 2025) went from nothing to Rs 4.6 lakh a quarter, 36% of all refunds. Everything else rose about Rs 1.9 lakh in Q4 2025, matching Priya's "stop arguing" change, and has since fallen back. Most of the jump began in Q3, before that change.
- **The people with the biggest refund totals are not the problem.** Returns Desk (3 agents) and Billing (4) handle 49% of the rupees because refunds are their job. The real leak is customers getting a refund and a replacement for the same order, which policy forbids.

Where the money leaks

343 tickets over 18 months, not the "couple of one-offs" noted in the spot check: Rs 12.4 lakh refunded plus Rs 6.3 lakh of replacement units. In 2026 it is about 76 tickets a quarter, 16.5% of all refund tickets. It is a team habit, not one person: Chat Frontline 27% of its refunds also got a replacement, Logistics 26%, Voice 25%, Email 19%, Escalations & Warranty 56%, against Returns Desk 5% and Billing 1.5%. The agents' own notes often say "given as customer threatened social media". The worst single agent (ID A3030) has 43 cases; the agent-level list is in the workbook.

Quarter	All refunds	Of which Pulse 2	Everything else	Refund + replacement tickets
Q2 2025	Rs 7.3 lakh	nil	Rs 7.3 lakh	34
Q3 2025	Rs 12.1 lakh	Rs 3.1 lakh	Rs 8.9 lakh	58
Q4 2025	Rs 16.3 lakh	Rs 5.4 lakh	Rs 10.9 lakh	72
Q1 2026	Rs 12.6 lakh	Rs 4.8 lakh	Rs 7.8 lakh	79
Q2 2026	Rs 12.8 lakh	Rs 4.6 lakh	Rs 8.2 lakh	74

The target

Cut refund-plus-replacement tickets from 16.5% of refund tickets to under 3% (about 76 to about 14 a quarter), worth about Rs 1.1 lakh a quarter in replacement units that are paid for twice, or about Rs 2.1 lakh if you count the refund as the unwarranted half. That is roughly Rs 4.4 to 8.4 lakh a year.

What I suggest

- Block it in the helpdesk: a refund and a replacement on one order needs Team Lead approval before it can be saved. The policy already says so; nothing enforces it.
- Remove GW-OTHER as the default dropdown option and add a code for damaged in transit and wrong item. 42% of refunds carry GW-OTHER today, but only 38 tickets (Rs 1.4 lakh) actually say goodwill. Reason-code reporting is unreliable until this is fixed.
- Ask Product and Operations about Pulse 2. It has about 17 refund tickets per 100 orders against about 13 for the original Pulse, and its reasons look like every other products, so this is not agents being generous. The files cannot say why customers return it more.

How far to trust this

The monthly tables by reason and by agent add up to the same Rs 67.1 lakh, checked automatically. Real reasons were recovered from agent notes with 92% accuracy when tested against tickets where the agent chose a specific code (97% on the cases the tool was confident about). 224 tickets (Rs 6.8 lakh) have notes too thin to classify and are shown as unresolved, not guessed. Dead-on-arrival and buy-back reasons are the least reliable (about 70% and 47%). The data has no refund date, so months follow ticket creation.